Strong inflation numbers leave Democrats in the driver's seat

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Wind permitting re-evaluation illustrates downside scenario for permitting bill

Strong inflation numbers leave Democrats in the driver’s seat. US inflation numbers rose across the board in September, coming in above analyst expectations, driven in part but not entirely by the war in Iran.

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Coming only a few weeks ahead of the midterm elections, these inflation numbers are bad news for Republicans across the country, suggesting there is no late-October relief coming for voters on the price front that could shore up the GOP’s majorities.
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The cost of living remains both one of the top issues for voters and the one on which President Trump polls the most poorly, with his net approval rating on inflation having fallen to a whopping -47.5% in October. Reminders of persistent inflation will only hurt Republicans.
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The September inflation numbers reaffirm Democrats as the strong favorites to flip the House (90% odds) and moderate favorites to flip the Senate (60% odds). Today’s raft of polls—two in Texas finding Democrat James Talarico up by two and three points, and one in Maine finding Democrat Troy Jackson up by two—support that view as well, even as they are a reminder that Democrats don’t have much room to maneuver in either state.

Iran’s escalation brings Trump’s post-midterm quandary into sharp focus. Iran’s attacks on ships in the Strait of Hormuz have reached a high point since the war began, including a single-day high of ship strikes, resulting in the sinking of a Singapore-flagged container ship last night.

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Trump’s vow to hold off strikes against Iran until after the midterms is holding for now, but he has left the door open by saying the US “will make a decision on Iran very soon.” We maintain our view that major US escalation is unlikely until after the midterms, barring a major disruption to global oil flows.
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Iran’s increased operational tempo and effectiveness, as well as reported overtures from Israeli Prime Minister Benjamin Netanyahu pushing for strikes before Israel’s October 27 election, put pressure on Washington to act. These pressures are growing more acute as the current US operational tempo and defensive positioning is becoming increasingly difficult to sustain. But, as demonstrated in Yemen, recent US engagement in the region has been indirect, likely reflecting an effort to conserve munitions and preserve US escalatory options (see: US support for Saudis against Houthis likely to remain indirect , 12 October 2026).
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Trump’s recent Russian diesel purchase buys him limited time and political cover on energy prices in the near term. The deal’s announced volumes are too small to meaningfully lower prices before Election Day (see Trump-Putin deal won’t impact diesel prices or produce an energy ceasefire , 12 October 2026). This gambit is unlikely to serve as a substitute for a military decision once the midterms pass, and Iran’s newly strengthened ability to strike energy infrastructure and transiting ships reinforces this dynamic.

Wind permitting re-evaluation illustrates downside scenario for permitting bill. The Trump administration asked a court yesterday to allow it to re-evaluate the Department of the Interior’s permit for the Revolution Wind power project off the coast of Rhode Island, which became operational in March.

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The question of whether the executive branch can re-evaluate and/or revoke permits for already-permitted projects is central to the deal struck between Senate Democrats and the White House on a permitting bill, the text of which was released by Senate Democrats and Republicans earlier this month.
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The political compromise underpinning the bill sees Democrats concede on easing oil and gas permitting, in exchange for the White House committing to end its freeze on a number of renewable energy projects and restricting the ability of the White House to revoke such permits in the future.
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Actions like re-evaluating Revolution Wind's permit threaten that political compromise and, in doing so, endanger the prospects of the bill’s passage, with Democrats not believing the White House will stick to its end of the bargain. Other new pathways for the administration to target renewable projects, including the Bulk Power Executive Order in August and proposed changes to the Agricultural Foreign Investment Disclosure Act (AFIDA), will also give Democrats pause about the White House's political commitment to not expand punitive actions against renewables even after a permitting package. We still believe the permitting bill will pass in the lame duck session of Congress, but any more such re-evaluations of permitting—or other signs that the White House is seeking to renege on the deal—could cause us to change that outlook.

Quote of the Day

"Yes, I will. I have zero interest in running for president. I’m not running for president. I’m running for re-election to the Senate. " - Sen. Jon Ossoff (D-GA) when asked during a debate last night if he would serve a full six-year term in the Senate. Ossoff is already regarded as a front-runner in the race for the

Democratic presidential nomination in 2028, and has built his national profile over the past few months by relentlessly criticizing corruption in the Trump administration. Denials like this have not historically precluded candidates from running for president; Bill Clinton promised to serve out a four-year term when running for re-election as governor in 1990, and Barack Obama promised to serve out his six-year Senate term, ending in 2010, when asked in 2006.

On the Radar

12-18 October: IMF and World Bank Annual Meetings

30-31 October: G20 Foreign Ministers' meeting

3 November: National midterm elections

9 November: Congress returns from recess

18-19 November: APEC leaders meeting in China

11 December: Government funding runs out

14-15 December: G20 summit in Florida

10 January: US-China tariff truce expires

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